



[Weekly Market Commentary](#)

Dear clients,

President Trump announced new “reciprocal tariffs” on April 2, adding to previous measures. The executive order set a 25% tariff on all autos coming into the US, a universal 10% increase to tariffs on all imports, and additional tariffs on 57 trading partners based on their existing trade barriers. The magnitude of these tariffs exceeded our expectations going into the event, leaving the landscape no clearer for making investment decisions, particularly as other countries assess potential countermeasures.

Interestingly, the event triggered a 4.6 standard deviation down move in US equities (S&P 500) relative to its 65-business day average, but only 1.4 and 1.5 standard deviation moves in bitcoin and the COIN50 index. That difference in risk-adjusted performance partly reflects the fact that crypto had already absorbed much of the pullback in risk appetite over the last two months, while expectations on the return distributions in crypto have started to shift. Moreover, the drag on stock prices reflects the tariffs’ direct impact on corporate earnings, particularly for companies reliant on global supply chains.

Nevertheless, it’ll be hard to see a recovery in crypto performance before a turn in traditional risk assets. Ultimately, we think it’s likely that we’ll see negative quarter-on-quarter GDP growth in 2Q25 and potentially an inflation shock (i.e. a stagflation scenario), which could continue to add to market volatility in the weeks to come. For now, we continue to believe a neutral stance makes more sense in the short-term, despite our long-term constructive outlook for the second half of the year.

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Best,
The Coinbase Institutional Team

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